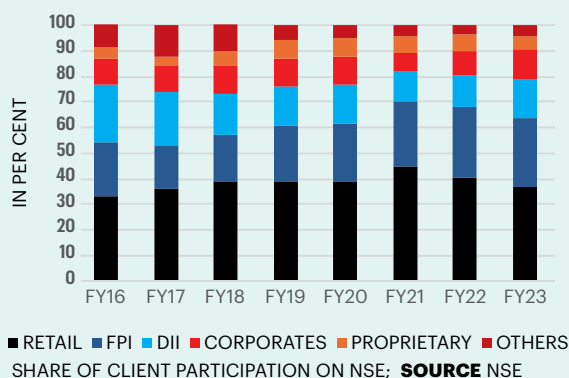
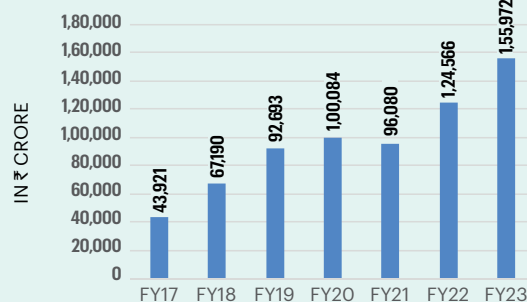


SEEKING REFUGE

The share of retail investors on NSE has fallen below 40 per cent in FY23, from the peak of FY21...



...while the flow of money into systematic investment plans has been steadily going up



➔ **63.6** MILLION TOTAL NUMBER OF SIP ACCOUNTS AS ON MARCH 31, 2023, PER AMFI

7.9 MILLION NUMBER OF ACTIVE RETAIL INVESTORS ON NSE AS ON MARCH 31, 2023, PER NSE

this: the share of retail investors who had shareholding of up to ₹2 lakh in a company increased to an all-time high of 7.48 per cent as on March 31, 2023, from 7.23 per cent on December 31, 2022, per data from primeinfo-base.com. “The power of the retail investor is going to stay. It is not going anywhere. On the contrary, over... 5-10 years, retail investors will probably be the most powerful set of investors either directly, or indirectly through domestic institutional investors. But the power of retail investors will not only continue to remain strong, but strengthen in the times to come,” says Modi of SAMCO.

This assumes significance as the cumulative share of domestic institutional investors (DIIs), retail and HNI (high net-worth individual) investors touched a high of 25.72 per cent as on March 31, 2023, from 24.44 per cent on December 31, 2022. “In 2014, there were 3 million Indians investing in stocks in a year, versus 35 million in 2023. If you look at the US, 55 per cent of adult Americans invest in stocks directly. Hence, we have a long highway of growth, with the occasional bumps as we are

witnessing now,” says Chandok of ICICI Securities.

While there is no doubt that there is significant room for growth in a market that has recently become the world’s most populous country with over 1.4 billion people, there is still a big question mark on whether the bulk of retail investors or new potential investors would invest in the stock markets directly or through MFs.

“A major proportion of retail investors still, and will continue to choose MFs. That’s where we have seen continuous inflows even when foreign investors were on a selling spree. With the rise in middle-class incomes, we will continue to see that trend,” says Upadhyay.

The average Indian retail investor is much more mature today, but there is no denying the fact that many of them have burnt their fingers in the stock markets in the past few years. And this is making them wary of investing directly. They will need some time to heal—and have clear visibility of potential gains in the future—before they take the plunge again. **BT**

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